No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE THIRTEENTH CIRCUIT

BRIEF FOR THE RESPONDENT

Team 52R
Counsel for the Respondent

Oral Argument Requested

QUESTIONS PRESENTED

1. Whether a secured creditor violates 11 U.S.C § 363(a)(3) by passively retaining possession of collateral that was lawfully repossessed from the debtor?
2. Whether an administrative expense for a substantial contribution is allowed under 11 U.S.C. 503(b) in a case under chapter 7 of the Bankruptcy code?

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OPINIONS BELOW

The decision and order of the U.S. Bankruptcy Court for the District of Moot and of the U.S. District Court for the District of Moot are unreported and therefore unavailable. The decision for the U.S. Court of Appeals for the Thirteenth Circuit is also unreported. This opinion is set forth in the Decision of the U.S. Court of Appeals for the Thirteenth Circuit in Case No. 18-0918, dated March 5, 2018, and is incorporated in the record on appeal (hereinafter "R.").

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The statutory provisions listed below are relevant to the present case and are produced in Appendices A and B.

11 U.S.C. § 362, 363, 503, 541, 542;

Fed. R. Bankr. P. 7001

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BRIEF FOR THE RESPONDENT

TO THE SUPREME COURT OF THE UNITED STATES:

Respondent, Milton Weinberg, appellee in the Docket No. 18-0918 before the U.S. Court of Appeals for the Thirteenth Circuit, respectfully submits this brief on the merits and asks this Court to affirm the decision of the Thirteenth Circuit Court of Appeals.

STATEMENT OF FACTS

This appeal is related to the seasonal snow plow business of Backstreets Plowing, Inc. (the "Debtor"). R. 3. The Debtor's sole shareholder, Christopher Clemons, realized in the spring of 2015 that his snow plow business would need to purchase new plow trucks in order to remain competitive. R. 3. This was due to the fact that the new plow trucks were more fuel-efficient and also would help the Debtor avoid substantial costs that it incurred in repairing the older trucks each winter. *Id.* The Debtor also believed that the new plow trucks would allow the Debtor to be competitive in the bidding process for a plowing contract with the City of Badlands, where the Debtor was located. *Id.* This contract with the City of Badlands guaranteed one year of work and was renewable at the option of the City. R. 4.

Realizing he was short on funds, Clemons approached a friend, Milton Weinberg (the "Respondent"), about borrowing $450,000 so that the Debtor could purchase the new snow plow trucks. *Id.* Respondent agreed to loan Clemons the money on the condition that he would be granted a security interest in the trucks in order to secure repayment of the loan. *Id.* In addition to granting Respondent a security interest in the trucks, Clemons also personally guaranteed the loan. *Id.* The promissory note for the loan established that the Debtor would make monthly payments to Respondent, starting once the business started generating revenue in December 2015. *Id.* With the necessary funds in hand, the Debtor purchased the new snow plow trucks in August 2015. *Id.*

Shortly thereafter, in October 2015, Respondent and Clemons had a falling out due to a heated exchange regarding college football. R. 5. This falling out led to neither party speaking to each other for a prolonged period. *Id.* The mild winter of 2015-2016 was a profitable one for the Debtor, as the contract with the City paid a flat rate regardless of whether it snowed or not

and the Debtor's costs were less than anticipated. *Id.* Although Clemons had agreed to begin payment on the loan in December 2015, no such payment was made. *Id.* This led Respondent to attempt to contact Clemons on several occasions in February 2016 regarding the missed payments. *Id.* After several unanswered calls, Respondent decided to try to reach Clemons by going to the Debtor's place of business, leading to an argument between Respondent and Clemons. *Id.* During the argument, Clemons demanded that Respondent leave immediately and directed several of the Debtor's drivers to remove him from the property. *Id.* Respondent then filed suit on the promissory note and the personal guarantee in April 2016 in the State of Moot Circuit Court. *Id.* Respondent obtained a default judgment in October 2016 against the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees. *Id.* Respondent did not take immediate action to collect that judgment. *Id.*

The winter of 2016-2017 was dramatically different from the previous winter due to several severe storms. *Id.* This resulted in substantial losses for the Debtor as the payments from the City were not large enough to cover its labor, maintenance, and fuel costs. R. 5—6. In January 2017, Respondent began efforts to collect on his judgment. R. 6. In order to retrieve the snow plow trucks, which he possessed a security interest in, Respondent hired a repossession company. *Id.* The trucks were successfully repossessed and taken to a warehouse owned by Respondent, where they currently remain. *Id.* Without any trucks, the Debtor was unable to perform its contract with the City and filed a chapter 11 petition on February 4, 2017. *Id.* The Debtor's attorneys then sent a letter demanding the plow trucks be returned immediately. *Id.* Respondent refused, alleging that he could demand adequate protection in his interest in the plow trucks based on the Debtor having the burden of bringing a turnover action. *Id.*

The Debtor then filed a motion alleging that Respondent's possession of the trucks constituted a violation of the automatic stay under section 362(a)(3). *Id.* The bankruptcy court found in favor of Respondent, holding that the retention of property lawfully repossessed is not an "act to . . . exercise control over property of the estate" within the scope of section 362(a)(3). *Id.* The Debtor appealed this ruling in March 2017; however, Clemons determined to voluntarily convert the chapter 11 case to a case under chapter 7 of the Bankruptcy Code due to the fact that efforts to reorganize the Debtor would be futile as the City had decided to terminate its contract with the Debtor. R. 6—7. On April 13, 2017, the Trustee was appointed to administer the Debtor's estate and liquidate its property. R. 7.

Shortly after the conversion to chapter 7, Respondent began collection efforts against Clemons on his personal guarantee of the loan. *Id.* Through a third party examination, Respondent discovered that in May 2016, shortly after the filing of Respondent's initial lawsuit, the Debtor made transfers of approximately $100,000 in cash to a bank account in the name of Clemons' daughter, Patti. Respondent then provided the Trustee with testimony and evidence establishing that the transfers were fraudulent and, therefore, were avoidable. *Id.* The Trustee took immediate action against Patti and reached a settlement in which Patti agreed to pay $75,000 to the estate in satisfaction of all claims asserted. *Id.*

As a result of investigating these fraudulent transfers to Patti, Respondent incurred $25,000 in legal fees. *Id.* Respondent then filed a motion seeking the allowance of a substantial contribution administrative expense pursuant to section 503(b) of the Bankruptcy Code. *Id.* The Trustee conceded that Respondent had made a substantial contribution to the estate, but he opposed Respondent's motion alleging that section 503(b)(3)(D) expressly limits these administrative expenses to cases under chapter 9 and 11. R. 8. The bankruptcy court ruled in

favor of Respondent, allowing the administrative expense in the amount of $25,000; the Trustee appealed that ruling. *Id.*

The Trustee received several offers to purchase the Debtor's assets, including the plow trucks. *Id.* One of the offers was from Tenth Avenue, whose offer was contingent on the Trustee immediately obtaining possession of the snow plow trucks that were repossessed by Respondent. *Id.* The Trustee was unable to come to an agreement with Respondent for the trucks, after which the Trustee continued his appeal of the alleged violation of the automatic stay in order to pressure Respondent into turning over the trucks so the sale to Tenth Avenue could be executed. *Id.* When it became apparent that Tenth Avenue would not receive title to the trucks prior to the winter plowing season, they decided to withdraw their purchase offer. *Id.* In January 2018, another buyer, Stone Pony, then offered $100,000 less for the Debtor's assets, excluding the plow trucks. *Id.* The Trustee accepted this offer and the bankruptcy court approved the sale to Stone Pony in February 2018. R. 8—9.

Although the sale had closed, the Trustee still refused to dismiss the appeals against Respondent. R. 9. The Trustee stated that he hopes to prevail on the appeal of the stay violation and recover from Respondent the difference between the offer made by Tenth Avenue and the sale proceeds from Stone Pony. *Id.* As the Trustee also continued the substantial contribution appeal, and with the consent of both parties, the two appeals were consolidated. *Id.* The Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed on both issues in favor of Respondent and the Trustee appealed both of those determinations to the United States Court of Appeals for the Thirteenth Circuit. *Id.* Upon judicial review, the United States Court of Appeals for the Thirteenth Circuit affirmed both decisions in favor of Respondent.

SUMMARY OF ARGUMENT

The Thirteenth Circuit's affirmation of the lower court's decision granting a substantial contribution to an estate in a chapter 7 bankruptcy case was proper and should be affirmed by this Court. The decision should be affirmed because the statutory construction, plain language of the statute, and equitable principles of bankruptcy in interpreting 11 U.S.C. § 503(b)(3)(D) allows for a substantial contribution to an estate in a chapter 7 bankruptcy case.

In interpreting the Bankruptcy Code, the statutory construction and plain language of the statute should be analyzed as opposed to attempting to determine Congress' intent. *United States v. Ledlin (In re Mark Anthony Constr., Inc.)*, 886 F.2d 1101, 1105 (9th Cir. 1989). The statutory construction and plain meaning of 503(b) gives bankruptcy courts broad discretion in awarding administrative expenses in chapter 7 bankruptcy cases. The inclusion of "including" in 503(b) demonstrates an intent to allow bankruptcy courts the power to determine when to allow an administrative expense in chapter 7 cases. The use of "including" in 503(b) was not intended to be limiting in its application, it was intended to create a non-exhaustive list of claims that permits administrative expense priorities for Chapter 7 cases. As this list is non-exhaustive, the Bankruptcy Appellate Panel was well within its discretion in allowing Respondent an administrative expense for discovering additional assets that significantly benefited the Debtor's estate and increased the amount of assets for all creditors.

Furthermore, the principles of equity support the allowance of an administrative expense in chapter 7 cases under 503(b)(3)(D) to encourage the participation of creditors. By failing to pay an administrative expense to a creditor who actively works to benefit a debtor's estate, a court deters such creditors from participating in chapter 7 cases. In this case, Respondent made a substantial contribution to the Debtor's estate when used its own resources to discover a fraudulent transfer by the Debtor. This resulted in the estate recovering $75,000 to be distributed

to all creditors. Without this contribution, the estate would be devoid of that amount and, as such, Respondent should be awarded an administrative expense to be consistent with the Code and principles of equity.

ARGUMENTS AND CITATION OF AUTHORITY

De novo review is required for questions of law regarding the decisions of Thirteenth Circuit below. *ASM Capital, LP v. Ames Dep't Stores, Inc., (In re Ames)*, 582 F.3d 422, 426 (2d Cir. 2009). "Under a de novo standard of review, the reviewing court decides an issue as if the court were the original trial court in the matter." *Razavi v. Commissioner of Internal Revenue*, 74 F. 3d 125, 127 (6th Cir. 1996).

I. Section 362(a)(3) Allows A Secured Creditor To Passively Retain Property That Was Lawfully Repossessed Prepetition Absent Affirmative Acts To Exercise Control Of The Property.

The Thirteenth Circuit's affirmation of the lower court's decision was proper because Respondent's interpretation of section 362(a)(3), when read in conjunction with Bankruptcy Code provisions in sections 361, 542 (a) & (c), and 704(a)(1), is consistent with the plain meaning of the statutes and equitable principles of the Bankruptcy Code, which operates to "relieve the honest debtor from the weight of oppressive indebtedness . . . to start afresh." *Local Loan Co. v. Hunt*, 292 U.S. 234, 245 (1934). An "honest debtor" does not describe the Debtor in this case, who, despite having a profitable year, refused to abide by the terms of a loan graciously given by the Respondent on account of a petty disagreement regarding college athletics. R. 4-5. Rather, the distinction should apply to Respondent, who, in good faith, not only aided the Debtor but also only sought to protect what is rightfully his by law. R. 5-6. These facts should have been closely monitored by the appointed trustee, who could have provided the structure and bounds for the turnover, who instead forwent his duties and is now asking for a result that circumvents

the plain meaning of the Bankruptcy Code provisions at issue, inflicts further harm on an honest creditor, and sets a dangerous precedent for inactive trustees with the power to spring traps for unassuming, less-sophisticated creditors. R. 10.

A. The plain meaning of Section 362(a)(3) condones passive retention or negative acts regarding prepetition property of the estate in possession of creditors.

First, when interpreting statutes, the language itself must be referenced and courts must presume "that a legislature says in a statute what it means and means in a statute what it says there . . . When the words of a statute are unambiguous, then this first canon is also the last: 'judicial inquiry is complete.'" *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992) (internal citations omitted). Courts must start by examining the language itself to divine meaning of the words in their "ordinary, contemporary, and common meaning." *Perrin v. United States*, 444 U.S. 37, 42 (1979). Additionally, the plain meaning of a statute should be "consistent with its language and with the Bankruptcy Code in general." *United States v. Ledlin (In re Mark Anthony Constr., Inc.)*, 886 F.2d 1101, 1106 (9th Cir. 1989). As a final consideration, "courts must steadfastly resist the ready temptation to rest a decision on their surmises as to what Congress probably had in mind." *Id.* at 1105 (quoting *United States v. Public Utilities Comm'n of California*, 345 U.S. 295, 319 (1953) (Jackson, J., concurring)).

Section 362(a)(3) prohibits "any *act* . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (emphasis added). A plain-meaning construction of the statute reveals that the "ordinary, contemporary, and common meaning" of "act" is "to take action" or "to produce an effect." *Act*, Merriam-Webster (11th ed. 2014); *Perrin*, 444 U.S. 37, 42. Both definitions indicate positive conduct to produce a new outcome. Furthermore, following the word "act" is the phrase "to exercise control."11 U.S.C. § 362(a)(3). Likewise, "exercise" is defined as a verb

"to make effective in action" or "to bring to bear." *Exercise*, Merriam-Webster (11th ed. 2014). Read in conjunction, the phrase "act . . . to exercise control" overwhelmingly connotes an element of affirmative rather than passive conduct. 11 U.S.C. § 362(a)(3). Additionally, it is not the "exercise to control" that is stayed but rather the "*act*" to do so. *Denby-Peterson v. Nu2u Auto World*, No. 17-9985 (NLH), 2018 U.S. Dist. LEXIS 187686 (D.N.J. Nov. 1, 2018).

Indeed, multiple courts have grappled with interpreting 362(a)(3). However, the interpretation most consistent with the plain meaning of the statute requires affirmative action by the creditor changing the status quo of the relationship of the parties for a finding of a violation of the automatic stay. *See Davis v. Tyson Prepared Foods, Inc., (In re Garcia)*, 740 Fed. Appx. 163, 164 (10th Cir. 2018); *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 948 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991); *Denby-Peterson*, No. 17-9985 (NLH), 2018 U.S. Dist. LEXIS 187686 *10. Passivity or failure to act is not enough. *Id.*

This principle is mirrored in the Supreme Court's decision in *Citizens Bank v. Strumpf*, where, although a bank refused to honor withdrawals on the debtor's checking account nearly 9 months after the debtor filed for Chapter 13 bankruptcy, such conduct did not violate the automatic stay provisions in section 362(a) because the conduct had not "taken something from the debtor or exercised dominion over property" belonging to the debtor. 516 U.S. at 21. Instead, the bank had only failed to act on its promise to pay the debtor since the debtor had likewise failed to act on its promise to pay back a loan and complied with section 362(a)(3) by refraining from committing any affirmative act to exercise control of the debtor's property. *Id.*

In the case at hand, Petitioner would unconscionably punish Respondent for an alleged violation of section 362(a)(3), when Respondent passively retained snow plow trucks he lawfully

repossessed before the commencement of the bankruptcy case. R. 5-6. Unlike in *Strumpf*, where the Supreme Court overturned a finding of a section 362 violation, despite the creditor placing an administrative hold *after* commencement of the bankruptcy case, Respondent has engaged in no postpetition, affirmative acts to exercise control of the snow plow trucks. R. 6. Thus, Respondent arguably has a greater claim to a finding of no violation of the automatic stay provision per the plain meaning of the statute and the result in *Strumpf*.

B. B. Purpose of the automatic stay condones preservation of the status quo of the property of the estate to protect the creditor interests.

Second, the purpose of the automatic stay is to not only to allow the debtor "breathing room" to help them achieve their fresh start but also to allow creditors the opportunity to preserve the status quo at the filing of the petition and to determine their rights to adequate protection or lifting of the automatic stay in section 362(d). *See Citizens Bank v. Strumpf*, 516 U.S. 16, 21 (1995) (where a postpetition administrative hold was upheld while creditors applied for a lift of the automatic stay). In C*onnecticut Pizza v. Bell Atlantic-Washington (In re Connecticut Pizza)*, the court stated that the particular purpose of section 362(a)(3) is to preserve the assets of the debtor's estate and allow the debtor-in-possession or trustee to fashion an equitable procedure for the distribution of estate property." 193 B.R. 217, 227 (1996). Not allowing the passive retention or negative action exceptions thwarts the purpose of the automatic stay.

C. Any Other Interpretation of Section 362 Would Yield Unconscionable Results Which Would Contradict the Equitable Principles of the Bankruptcy Code and Render Other Code Provisions a Nullity.

A contrary view to either the plain meaning or purpose of the statue would "punish creditors who, while legally seizing the property of the estate pre-petition, failed to return this property immediately to the debtor" upon bankruptcy filing. *In re Richardson*, 135 Bankr. 256,

258-59 (Bankr. E.D. Tex. 1992) (footnote omitted). This would leave creditors and their security interests at the mercy of debtors and render protections under section 362(d), which allows creditors to lift the stay for cause, obsolete since the property of the estate will have already gone back to the debtor. *See Citizens Bank v. Strumpf*, 516 U.S. 16, 21 (1995) (where debtors drained the bank account in question while creditor bank's section 362(d) claim was still pending.); *see also In re Young*, 193 B.R. 620, 626-27 (Bankr. D.D.C. 1996) (where court held that immediate turnover is without any guarantee of adequate protection). Therefore, a departure from the plain meaning and purpose of the statute will result in creditors faced either with losing their prepetition interests or the exposure to unwarranted sanctions, including actual damages, costs and attorneys' fees, and the possibility of punitive damages. *Id.* at 626; 11 U.S.C. § 362(k).

Such a reading of section 362(a)(3) would also render sections 105(a), 542(a), 704(a)(1) superfluous and sections 361 and 542(c) obsolete, a result that circumvents the "elementary rule of construction that 'the act cannot be held to destroy itself.'" *Strumpf*, 516 U.S. at 20 (quoting *Texas & Pacific R. Co. v. Abilene Cotton Oil Co.*, 204 U.S. 426, 446 (1907)). First, section 542(a) allows trustees the ability to request entry of an order of turnover pursuant to their duties to "collect and reduce to money the property of the estate." 11 U.S.C. § 704(a)(1); *see* 11 U.S.C. § 542(a). The bar against passive retention or negative acts in respect to property of the estate held by creditors would effectuate immediate turnover provisions in section 362(a)(3), rendering section 542(a) superfluous.

In WD *Equipment, LLC*, the 10th Circuit reasoned that even if turnover provisions were self-executing, courts do not need section 362 to enforce the turnover of property to the estate and instead can invoke section 542(a) via section 105(a), which gives courts "broad equitable powers" to provide relief as "necessary or appropriate to carry out the provisions of section

542(a). 849 F.3d at 950. Furthermore, in reading an automatic turnover provision in section 362(a)(3), trustees would, in effect, relinquish their duties as outlined in 704(a)(1) as the duty to "collect and reduce to money the property of the estate for which such trustee serves" to creditors, a result not warranted in the Bankruptcy Code. 11 U.S.C. § 704(a)(1); *see generally In re Young* at 626.

Second, section 361 grants Chapter 7 trustees the discretion to determine and order adequate protection for creditors in section 362, 363, and 364 contexts. *See In re Deiss*, 166 Bankr. 92 (Bankr. S.D. Tex. 1994) (creditor entitled to adequate protection before turnover). If automatic turnover provisions are read into section 362(a)(3), creditors would never be afforded adequate protection under sections 361 or the turnover exception in 542(c) because before a determination could be made or the the turnover exception for good faith lack of notice of bankruptcy filing, the creditors would already be required to automatically turnover all property of the estate or risk sanctions for violating the automatic stay. *Id.*; *see also Strumpf see also Bank of Marin v. Eng.,* 385 U.S. 99, 102 (1966) (absent notice of bankruptcy, a bank cashing prepetition/postpetition checks is empowered to do so under section 542(c)).

Therefore, in light of the plain meaning and purpose of the Bankruptcy Code, the Thirteenth Circuit was correct in dismissing the Petitioner's claims to read automatic turnover provisions in section 362(a)(3) because such a reading is not only contrary to the plain meaning of the statute but also circumvents the principles of equitable distribution to creditors contemplated by the Bankruptcy Code.

II. If Congress Wanted Section 542 To Be Self-Effectuating They Would Have Explicitly Stated Such an Act in the Statute.

It is highly unlikely that Congress would require that section 542 be self-effectuating and require a secured creditor to automatically turnover lawfully repossessed property. If the that

was the objective of Congress, they would have stated such in the statute. *Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S. 457, 468 (2001). Further, as the Thirteenth Circuit Court of Appeals noted, this would expose the offending party to a bevy of penalties including compensatory damages, attorney's fees, costs, and potentially punitive damages. When looking to the plain language of the statute it is clear that Respondent did not have post-petition control that would violate the automatic stay.

As noted by this Court, Congress does not "hide elephants in mousheholes." *Id.* at 468. This Court has also stated that courts are to "presume that a legislature says in a statute what it means and means in a statute what it says there. . .When the words of a statute are unambiguous, then this first canon is also the last: 'judicial inquiry is complete.'" *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992) (internal citations omitted). Furthermore, "[i]f Congress had meant to add an affirmative obligation . . . to turn over property belonging to the estate, it would have done so explicitly." WD Equipment, LLC v. Cowen (*In re Cowen)*, 849 F.3d 943, 950 (10th Cir. 2017). As the court in *Denby-Peterson v. Nu2u Auto World* noted, Congress could have mandated that creditors turnover property upon the ". . . institution of automatic stay. . ." but did not do so. 2018 WL 5729907, at *5 (D.N.J. Nov. 1, 2018).

If Congress had wanted section 542 to be self-executing, it would have stated such an act in the statute. *In re Cowen,* 849 F.3d at 950. In *In re Cowen*, a chapter 13 debtor brought an adversary proceeding to recover property that was lawfully repossessed by the secured creditor. *Id.* at 943. The debtor alleged that the secured creditor had violated the automatic stay by passively retaining trucks in which it possessed a security interest in. *Id.* at 945. In holding that the automatic stay was not violated by the creditor, the court noted that the stay provision that prohibited post-petition acts applied "only affirmative acts to gain possession of, or to exercise

control over, estate property, and did not prohibit secured creditors from passively retaining possession of collateral repossessed prepetition . . .” *Id.* at 943. In its reasoning, the court explained that if Congress had intended the turnover provision to be self-effectuating, it would have stated so explicitly in the statute. *Id.* at 950. After an analysis of the legislative history and plain language of the statute, the Court found no such explicit language. *Id.*

Applied to this case, if Congress had wanted section 542 to be self-executing, they would have explicitly stated such in the plain language of the statute. While not a chapter 13 proceeding, this case is factually similar to *Cowen* in that the secured creditor was in lawful, passive possession of trucks and did not turn them over to the debtor upon request. Similar to the creditor in *Cowen*, Respondent never undertook an affirmative, post-petition act to gain possession of estate property. Respondent lawfully repossessed the snow plow trucks prior to the petition and was passively retaining them in a warehouse. As the court in *Cowen* noted, this does not constitute a violation of the automatic stay because the creditor is not prohibited from passively retaining collateral that was lawfully repossessed pre-petition. Like the court in *Cowen* explained, if Congress desired to add an affirmative obligation to turn over property belonging to the estate, it would have stated so explicitly in the statute. Since Congress did not explicitly state so, Respondent did not violate the automatic stay by passively retaining possession of the plow trucks.

Based upon the plain language of the statute, section 542 is not self-effectuating and Respondent was not prohibited from passively retaining the collateral that it had lawfully repossessed prior to the petition date.

III. The Statutory Construction, Plain Language, and Equitable Principles of Bankruptcy in Interpreting 11 U.S.C. § 503(b)(3)(D) Allows For a Substantial Contribution to an Estate in a Chapter 7 Bankruptcy Case.

The Thirteenth Circuit's affirmation of the lower court's decision was proper because Respondent provided a substantial contribution to the estate of the Debtor by providing the Trustee with evidence of the Debtor's fraudulent transfer. The plain meaning of a statute should be "consistent with its language and with the Bankruptcy Code in general." *United States v. Ledlin (In re Mark Anthony Constr., Inc.)*, 886 F.2d 1101, 1106 (9th Cir. 1989). Discrepancies in interpreting the Bankruptcy Code should be resolved by "analysis of the statute instead of by psychoanalysis of Congress, and that courts must steadfastly resist the ready temptation to rest a decision on their surmises as to what Congress probably had in mind." *Id.* at 1105 (quoting *United States v. Public Utilities Comm'n of California*, 345 U.S. 295, 319 (1953) (Jackson, J., concurring)).

The inclusion of Chapter 7 under 503(b)(3)(D) does not render the statute superfluous nor does it render the provision meaningless. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 816 (6th Cir. 2015) (hereinafter "*Connolly*") ("To be sure, the examples in the subsections of § 503(b) are not meaningless."); *cf. In re Hackney*, 351 B.R. 179, 202 (N.D. Ala. 2006) ("Moreover, the bankruptcy court's ruling would render subsection (3)(D) of § 503(b) meaningless."). Rather, the language used in the statute of 503(b) should be broadly construed to give the Code full effect.

A flexible interpretation assists Trustees who serve as the "bankruptcy watch-dogs to prevent fraud, dishonesty, and overreaching in the bankruptcy arena." *Connolly*, 802 F.3d at 817 (quoting H.R. Rep. No. 95-595 at 88 (1978) (reprinted in 1978 U.S.C.C.A.N. at 5787, 5963, 6049)). But Trustees are not "fail proof safeguard[s]" and, in rare cases, a creditor may have to use its own resources to perform the duties a Trustee can't or is unwilling to do, in order to "protect the estate as a whole." *Id.* When a creditor does, indeed, perform the duty of a Trustee

to help recover assets hidden from the estate, that creditor should be awarded for its good deeds. Rooted in the principles of equity, 503(b)(3)(D) does just that and incentivizes creditors to participate in Chapter 7 cases. *Id.* at 819.

For these reasons, this Court should affirm the lower court's decision because the BAP was within its authority to authorize the administrative expense to Respondent. First, the statutory construction and plain meaning of 503(b) gives bankruptcy courts broad discretion in awarding administrative expenses in cases under Chapter 7. Second, the principles of equity support the award of an administrative expense under 503(b)(3)(D) to encourage creditors' participation in Chapter 7 cases.

A. Congress' Inclusion of "Including" in The Code Exemplifies an Intent to Allow Bankruptcy Courts the Power to Determine When to Allow an Administrative Expense in Chapter 7 Cases.

The inclusion of the term "including" in the statutory language of 11 U.S.C. Section 503(b) allows bankruptcy courts to permit an administrative expense under 503(b)(3)(D) in Chapter 7 cases. Section 503(b)(3)(D) allows an administrative expense for "the actual, necessary expenses . . . incurred by . . . a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D). The statutory language is silent on whether 503(b)(3)(D) allows for an administrative expense under Chapter 7. Several courts, however, have held that 503(b) provides for a non-exhaustive list that a bankruptcy court may consider when determining the appropriateness of granting an administrative expense in Chapter 7 cases. *See Connolly*, 802 F.3d at 816–17 (discussing the flexible construction of 11 U.S.C. § 503(b)(3)(D) in Chapter 7 cases); *Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993); *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.)*, 963 F.2d 1449, 1452 (11th Cir.1992); *United States v.*

Ledlin (In re Mark Anthony Constr., Inc.), 886 F.2d 1101, 1106 (9th Cir. 1989); *In re Javed*, 592 B.R. 615 (Bankr. D. Md. Oct. 11, 2018); *In re T.A. Brinkoetter & Sons, Inc.*, 467 B.R. 668, 670 (Bankr. C.D. Ill. 2012); *Pergament v. Maghazeh Family Trust (In re Maghazeh)*, 315 B.R. 650, 654 (Bankr. E.D.N.Y. 2004).

In *Connolly*, the court was tasked with determining whether to allow an administrative expense to a creditor, in a Chapter 7 case, who substantially contributed to the estate of the Debtor. *Connolly*, 802 F.3d 810. Taking a more flexible approach to the allowance of such an administrative expense, the *Connolly* court held that the statutory language, read plainly, allowed the award where "a Chapter 7 creditor may be compelled to utilize its own resources to protect the estate as a whole." *Id.* at 817. In order to analyze the plain language of the statute, the court looked to 11 U.S.C. Section 102(3) that states the term "including" is not a term of limitation. *Id.* at 816. Arguing in favor of Congress's intent in drafting 503(b), the court concluded that Congress "built a mechanism into § 503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in § 503(b)'s subsections." *Id.* This is so because the delineated list in the subsections "provide a contextual framework, describing obligations of the bankruptcy estate, such as wages and taxes, and situations where the trustee, creditors, creditor committees, and others administer, preserve, or augment the estate." *Id.* at 816–17. Further, the court found adequate reasoning in Congress setting out examples of appropriate administrative expenses under 503(b). The court summarized Congress' reasoning as follows:

> It makes good sense that in providing these examples, Congress would expressly mention Chapters 9 and 11 in the context of creditor activity making a substantial contribution, but not Chapter 7. In both Chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical Chapter 7 case (such as the instant case), the U.S. trustee fulfills this role.

Id. at 817 (internal citation and quotation marks omitted).

But the absence of explicit language referring to Chapter 7 in 503(b)(3)(D) does not eviscerate a Bankruptcy court's ability to grant such an award. *Id.* at 818 (concluding that broadly interpreting 503(b) to embrace reimbursement of administrative expenses in Chapter 7 cases of substantial contributions by a creditor does not divest Bankruptcy courts of their authority.). By reviewing the face of the statute, it is clear that "expenses not explicitly listed in section 503(b) can receive administrative-expense status…as a [non-listed] administrative expense under 503(b) in general." *See In re N.P. Mining Co. Inc.*, 963 F.2d at 1452; *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40 (Bankr. C.D. Cal. 2017). For example, in *In re Health Trio, Inc.*, the CFO of a Debtor corporation proceeding in an involuntary Chapter 7 case requested an administrative expense under 503(b)(3)(D) for "cataloguing, identifying, maintaining and preserving documents for a notebook he prepared in support of the bankruptcy estate's litigation claims." 584 B.R. at 347. The court held "a party can be awarded a chapter 7 administrative expense priority claim if such party makes a substantial contribution to a case under Chapter 7, even though only one section of the statute specifically refers to chapters 9 and 11." *Id.* at 352. In following the minority view of the court in *Connolly* and applying 503(b)(3)(D) under the Chapter 7 case, the court held "creditor participation enhances the transparency of and public confidence in the bankruptcy system." *Id.* at 355.

Here, the Thirteenth Circuit found that allowing an administrative expense to Respondent was "more consistent with both the plain meaning and the structure of the statute." Tantamount to the court's decision was the explicit choice of Congress to incorporate the term "including" within the statute of 503(b). By using "including" in the plain language of the statute, the court held that the only way to give the term meaning was to "acknowledge that administrative

expense[s] other than the statutory examples" were permissible. This is similar to the *Connolly* court who concluded that the statutory construction of the term "including" provided great flexibility for the court to award an administrative expense under Chapter 7 that was not specifically listed in 503(b)(3)(D). Also similar to this case, the court in *In re Health Trio, Inc.* held that an administrative expense for a substantial contribution could be awarded in Chapter 7 cases. That is because "including" is not limiting in its application, rather its intended use was to create a non-exhaustive list of claims that permits administrative expense priorities for Chapter 7 cases. Thus, the Thirteenth Circuit, here, was well within its discretion to allow the award of an administrative expense to Respondent for his substantial contribution to the Debtor's estate.

In conclusion, the Thirteenth Circuit exercised its broad discretion under the statutory language of 503(b) to give Respondent an administrative expense for discovering additional assets that benefited the Debtor's estate and increased the amount of assets for all creditors. For these reasons, we respectfully request this Court to affirm the BAP's holding.

B. Principles of Equity Support the Award of an Administrative Expense in Chapter 7 Cases Under 503(b)(3)(D) to Encourage, and Not Deter, Creditors' Participation.

To encourage participation by creditors in Chapter 7 cases, principles of equity require the award of an administrative expense under 503(b)(3)(D). Bankruptcy courts are "specialized court[s] of equity," and "the overriding consideration [of] equitable principles govern the exercise of bankruptcy jurisdiction." *Connolly*, 802 F.3d at 814 (internal quotation marks omitted). A creditor seeking an administrative expense in a Chapter 7 case has a rebuttable presumption against not awarding the expense which necessitates "the creditor [to] demonstrate that its actions were not intended to thwart or impede the chapter 7 process, but that the actions were necessary under the circumstances and provided a substantial benefit to the estate." *In re*

Javed, 592 B.R. 615, 621 (Bankr. D. Md. Oct. 11, 2018); *see Connolly*, 802 F.3d at 817 ("As this case demonstrates, however, the U.S. trustee is not a fail-proof safeguard, and in certain circumstances, a Chapter 7 creditor may be compelled to utilize its own resources to protect the estate as a whole."). Put simply, a claimant has the "burden of proving an administrative expense claim." *In re Maust Transp., Inc.*, 589 B.R. 887, 893 (Bankr. W.D. Wash. 2018). However, failing to pay an administrative expense to a creditor who actively works to benefit the Debtor's estate will deter such creditor's from participating in Chapter 7 cases. *Connolly*, 802 F.3d at 818 ("Failing to award administrative expenses to the rare Chapter 7 creditors who are forced by circumstances to tak[e] action that benefits the [bankruptcy] estate when no other party is willing or able to do so, would deter them from participating in bankruptcy cases and proceedings, which is plainly inconsistent with the purposes of the Act.") (internal quotations omitted) (alternations in original).

In *Connolly*, a creditor brought an action to remove a Chapter 7 Trustee found to have "breached [his] discovery obligations due to gross negligence." *Id.* at 813. The creditor's actions by way of "[paying] its attorneys to [file the action] substantially benefitted the bankruptcy estate and the unsecured creditors, and contributed greatly to there being a significant increase [in] the amount of funds that the unsecured creditors w[ould] receive." *Id.* (quoting *In re Connolly N. Am.*, 479 B.R. 719, 722 (E.D. Mich. 2018)) (alterations in original). The *Connolly* court based its reasoning on equitable principles. *Id.* at 814–15. By allowing the administrative expense, the *Connolly* court recognized that Bankruptcy courts are courts of equity, thus, so long as Bankruptcy courts' powers are "exercised within the confines of the Bankruptcy Code," their decisions are unassailable. *Id.* (quoting *Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.)*, 137 F.3d 919, 924 (6th Cir. 1998)).

Further, the court held that "denying creditors reimbursement of administrative expenses" would severely limit creditors' participation in Chapter 7 cases and "impugn the fundamental notion of bankruptcy as equitable relief." *Id.* at 819. In granting the administrative expense to the creditor, the court ruled Section "503(b)(3)(D) of the Bankruptcy Code does not divest bankruptcy courts of authority to allow reimbursement under § 503(b) of reasonable administrative expenses of creditors whose efforts substantially benefit the bankruptcy estate and its creditors in a Chapter 7 proceeding." *Id.*

Another illustrative case is *In re Maust Transp., Inc.*, where the Trustee did not have the resources to pursue a fraudulent transfer claim under an involuntary Chapter 7. 589 B.R. at 899. One creditor in that case expended a significant amount of its own time and money "obtaining documents, locating and interviewing counsel, and convincing such counsel" to pursue the fraudulent transfer claim. *Id.* The creditor's efforts resulted in the recovery of $130,830.57 for the estate. *Id.* The court acknowledged that the case before it was one of those rare cases not contemplated by the Code whereby a substantial contribution was made by a creditor to a Chapter 7 proceeding. *Id.* In doing so, the court held the recovered assets "constitute[d] the bulk of funds received, and it is undisputed that such funds would not have been available for distribution to creditors but for [that creditor's] actions." *Id.*

Here, the efforts of Respondent in making a substantial contribution to the estate of the Debtor resulted in a quick settlement of the Debtor's fraudulent transfer claim entitling Respondent to an administrative expense. Without Respondent's discovery of the Debtor's fraudulent transfer, the estate would be devoid of $75,000 that increased the value of assets to be distributed to all creditors. This is similar to *In re Maust Transp., Inc.*, where the creditor recovered over $100,000 in estate assets that benefited the creditors. And much like the creditor

in *Connolly* whose actions allowed for a Trustee to be appointed that would seek to uncover assets of the estate that were otherwise not be available to the debtor's creditors. The actions of Respondent in discovering a significant amount of money fraudulently transferred by the Debtor in this case, substantially contributed to the administration of the Debtor's estate and met his burden of establishing his right to an administrative expense under 503(b)(3)(D).

The addition of $75,000 to the Debtor's estate was a substantial contribution made by Respondent that otherwise would not have been included for the benefit of all creditors. Awarding an administrative expense to Respondent fits with the equitable principles of the Bankruptcy Code and encourages creditors to participate in Chapter 7 cases. To be consistent with the Code and the principles of equity, Respondent respectfully requests this Court to affirm the lower court's decision.

CONCLUSION

For the foregoing reasons, we respectfully ask the Court to affirm the Thirteenth Circuit's decision.

Appendix A: Selected Provisions of Title 11 of the U.S. Code

§ 102. Rules of Construction

(1) [Omitted]

(2) [Omitted]

(3) "includes" and "including" are not limiting;

(4) [Omitted]

(5) [Omitted]

(6) [Omitted]

(7) [Omitted]

(8) [Omitted]

(9) [Omitted]

§ 362. Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(9) [Omitted]

(10) [Omitted]

(11) [Omitted]

(12) [Omitted]

(13) [Omitted]

(14) [Omitted]

(15) [Omitted]

(16) [Omitted]

(17) [Omitted]

(18) [Omitted]

(19) [Omitted]

(20) [Omitted]

(21) [Omitted]

(22) [Omitted]

§ 363. Use, Sale, or Lease of Property.

(a) In this section, "cash collateral" means cash, negotiable instruments, documents of title, securities, deposit accounts, or other cash equivalents whenever acquired in which the

estate and an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title [11 USCS § 552(b)], whether existing before or after the commencement of a case under this title.

(b) (1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless:

(A) such sale or such lease is consistent with such policy; or

(B) after appointment of a consumer privacy ombudsman in accordance with section 332 [11 USCS § 332], and after notice and a hearing, the court approves such sale or such lease:

(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(2) If notification is required under subsection (a) of section 7A of the Clayton Act [15 USCS § 18a(a)] in the case of a transaction under this subsection, then:

(A) notwithstanding subsection (a) of such section [15 USCS § 18a(a)], the notification required by such subsection to be given by the debtor shall be given by the trustee; and

(B) notwithstanding subsection (b) of such section [15 USCS § 18a(b)], the required waiting period shall end on the 15th day after the date of the receipt, by the Federal Trade Commission and the Assistant Attorney General in charge of the Antitrust Division of the Department of Justice, of the notification required under such subsection (a) [15 USCS § 18a(a)], unless such waiting period is extended--

(i) pursuant to subsection (e)(2) of such section [15 USCS § 18a(e)(2)], in the same manner as such subsection (e)(2) applies to a cash tender offer;

(ii) pursuant to subsection (g)(2) of such section [15 USCS § 18a(g)(2)]; or

(iii) by the court after notice and a hearing.

(c) [Omitted]

(d) [Omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362 [11 USCS § 362]).

(f) [Omitted]

(g) [Omitted]

(h) [Omitted]

(i) [Omitted]

(j) [Omitted]

(k) [Omitted]

(l) [Omitted]

(m) [Omitted]

(n) [Omitted]

(o) [Omitted]

(p) In any hearing under this section
(1) [Omitted]

(2) the entity asserting an interest in property has the burden of proof on the issue of validity, priority, or extent of such interest.

§ 503. Allowance of an administrative expense

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) (b)After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)

(A) the actual, necessary costs and expenses of preserving the estate including—

(B) wages, salaries, and commissions for services rendered after the commencement of the case; and

(C) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(D) any tax—

(E) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(F) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(c) [Omitted]

§ 541. Property of the estate.

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is—

(A) under the sole, equal, or joint management and control of the debtor; or

(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date—

(A) by bequest, devise, or inheritance;

(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(7) Any interest in property that the estate acquires after the commencement of the case.

(b) [Omitted]

(c) [Omitted]

(d) [Omitted]

(e) [Omitted]

(f) [Omitted]

§ 542. Turnover of property of the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

(c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

(d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

(e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee.

Appendix B: Federal Rules of Bankruptcy Procedure
Rule 7001: Scope of Rules of Part VII

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under §554(b) or §725 of the Code, Rule 2017, or Rule 6002;

(2) a proceeding to determine the validity, priority, or extent of a lien or other interest in property, but not a proceeding under Rule 3012 or Rule 4003(d);

(3) a proceeding to obtain approval under §363(h) for the sale of both the interest of the estate and of a co-owner in property;

(4) a proceeding to object to or revoke a discharge, other than an objection to discharge under §§727(a)(8), 1 (a)(9), or 1328(f);

(5) a proceeding to revoke an order of confirmation of a chapter 11, chapter 12, or chapter 13 plan;

(6) a proceeding to determine the dischargeability of a debt;

(7) a proceeding to obtain an injunction or other equitable relief, except when a chapter 9, chapter 11, chapter 12, or chapter 13 plan provides for the relief;

(8) a proceeding to subordinate any allowed claim or interest, except when a chapter 9, chapter 11, chapter 12, or chapter 13 plan provides for subordination;

(9) a proceeding to obtain a declaratory judgment relating to any of the foregoing; or

(10) a proceeding to determine a claim or cause of action removed under 28 U.S.C. §1452.